
ARTICLE 22

TWENTY-SECOND ARTICLE

Submitted by: Rob Schoen TMM P1 and Bradford Kimball TMM P1

To see if the Town of Brookline will adopt the following resolution:

WHEREAS, Proposition 2½ limits annual growth in municipal property tax levies to a fixed nominal rate of 2.5 percent, plus new growth; and

WHEREAS, municipalities routinely experience structural erosion of real purchasing power, and the ability to maintain adequate levels of services; and

WHEREAS, reliance on overrides as the primary mechanism for maintaining such services subjects municipalities to fiscal volatility, uncertainty, and potential voter fatigue; and

WHEREAS, the Massachusetts Municipal Association has identified the rigidity of the current levy growth framework as a contributing factor to long-term fiscal strain across municipalities and has recommended voter-driven reforms, including mechanisms such as multi-year overrides and inflation-indexed adjustments to the levy growth framework to provide greater flexibility while preserving taxpayer protections; and

NOW, THEREFORE, BE IT RESOLVED that Town Meeting recommends the modernization of Proposition 2½; and

BE IT FURTHER RESOLVED that Town Meeting calls upon the Governor and the General Court to enact legislation that addresses the structural limitations of the current fixed nominal cap; and

BE IT FURTHER RESOLVED that the Town Clerk is directed to transmit this resolution to the Governor, the Town's state legislative delegation, and the Massachusetts Municipal Association.

or act on anything relative thereto.

PETITIONER'S ARTICLE DESCRIPTION

This resolution asks Town Meeting to express support for the modernization of Proposition 2½, the state law that caps annual growth of municipal revenue at 2.5%, with allowances for new growth.

Municipalities across Massachusetts, including Brookline, are under significant fiscal pressure. Since COVID, the cost of municipal services has increased by more than 2.5% each year, while revenue growth remains constrained due to Prop 2½. This resolution calls on the Governor and General Court to enact legislation that addresses the structural limitations of the current fixed nominal cap while preserving the taxpayer protections central to the law's purpose.

The Massachusetts Municipal Association (MMA) has recommended ideas for reform that deserve discussion and debate. One example is replacing the fixed nominal cap with an adjustable levy cap indexed to inflation, which would provide municipalities with more flexibility during periods of sustained higher inflation. An adjustable levy cap does not necessarily mean higher taxes. In a disinflationary environment with inflation below 2.5%, an adjustable cap would result in lower property taxes for communities. Another example is permitting multi-year operating overrides, which would give local governments a predictable multi-year revenue roadmap while protecting citizens from sudden tax shocks.

This resolution urges the state to consider all available options to modernize Prop 2½ but does not endorse a specific solution. The goals in bringing this resolution to Town Meeting are to initiate a discussion about Prop 2½ reform and position Brookline as a leader in an important statewide debate.

SELECT BOARD'S RECOMMENDATION

ROLL CALL VOTE:

Aye:

ADVISORY COMMITTEE'S RECOMMENDATION

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